Quarterly operations report

Q1 FY2027: July to September 2026 · Prepared by the Operations team, 12 October 2026

1 Summary

Revenue rose **5.0%** to AUD 9.22 million, led by *Queensland*. Freight costs fell for the second quarter; see section 3, Supply chain.

- On-time delivery reached 96.4%.
- Timber purchasing moved further toward certified sources:
  - 88% of oak by volume is certified.
  - All veneer suppliers are now audited annually.
- Warranty claims fell to 0.6% of units shipped.

> **Revenue:** AUD 9.22 m (+5.0%)
>
> **On-time delivery:** 96.4%
>
> **Certified timber:** 88%

2 Sales performance

Table 1 compares revenue by region with the same quarter last year. Revenue is reported excluding GST.

Filler.

Table 1. Revenue by region, AUD thousands

Region	Q1 FY2026	Q1 FY2027	Change
Tasmania	1,284	1,412	+10.0%
Victoria	2,905	3,118	+7.3%

Region	Q1 FY2026	Q1 FY2027	Change
New South Wales	3,462	3,390	−2.1%
Queensland	1,127	1,301	+15.4%
Total	8,778	9,221	+5.0%



Figure 1. Revenue by region, AUD thousands

3 Supply chain

Freight and timber sourcing both improved this quarter. The two subsections below summarise the changes and the suppliers involved.

3.1 Freight

Consolidated sailings across Bass Strait reduced the number of part-loaded containers by a third. Average freight cost per shipped unit fell from AUD 41.20 to AUD 37.85.

Pick lists now come directly from the warehouse system `WMS-7`, which removed a manual re-keying step and halved picking errors at the Moonah yard.

3.2 Timber sourcing

Our partner Atelier Beaulieu puts it simply: « Le bois demande de la patience. » (“Timber asks for patience.”)



Figure 2. Air drying at the Moonah yard

4 Outlook

Next quarter's priorities follow our published sustainability commitments.

1. Commission the third kiln chamber at Moonah by November.
2. Extend certified sourcing to every timber category:
   - audit the remaining two veneer mills;
   - require chain-of-custody records for recovered oak.
3. Hold on-time delivery above 96% through the December peak.

Appendix A. Supplier register

The register lists every supplier active at the end of the quarter, with spend in the quarter and certification status.

Table 2. Active suppliers at 30 September 2026

Supplier	Location	Category	Spend (AUD thousands)	Certified
Derwent Valley Sawmills	New Norfolk TAS	Timber	120	Yes
Huon Pine Traders	Huonville TAS	Timber	157	Yes
Tamar Joinery Supplies	Launceston TAS	Hardware	194	Yes
Kestrel Steelworks	Fremantle WA	Steel	231	No
Moonah Kiln Services	Moonah TAS	Services	268	Yes
Southern Cross Castors	Dandenong VIC	Hardware	305	Yes
Bass Strait Freight	Devonport TAS	Freight	342	Yes

Supplier	Location	Category	Spend (AUD thousands)	Certified
Atelier Beaulieu	Lyon, France	Timber	379	Yes
Gippsland Veneers	Morwell VIC	Timber	416	No
Riverina Oils	Wagga Wagga NSW	Finishes	453	Yes
Derwent Valley Sawmills (site 2)	New Norfolk TAS	Timber	490	Yes
Huon Pine Traders (site 2)	Huonville TAS	Timber	127	Yes
Tamar Joinery Supplies (site 2)	Launceston TAS	Hardware	164	Yes
Kestrel Steelworks (site 2)	Fremantle WA	Steel	201	No
Moonah Kiln Services (site 2)	Moonah TAS	Services	238	Yes
Southern Cross Castors (site 2)	Dandenong VIC	Hardware	275	Yes
Bass Strait Freight (site 2)	Devonport TAS	Freight	312	Yes
Atelier Beaulieu (site 2)	Lyon, France	Timber	349	Yes
Gippsland Veneers (site 2)	Morwell VIC	Timber	386	No
Riverina Oils (site 2)	Wagga Wagga NSW	Finishes	423	Yes
Derwent Valley Sawmills (site 3)	New Norfolk TAS	Timber	460	Yes
Huon Pine Traders (site 3)	Huonville TAS	Timber	497	Yes
Tamar Joinery Supplies (site 3)	Launceston TAS	Hardware	134	Yes
Kestrel Steelworks (site 3)	Fremantle WA	Steel	171	No
Moonah Kiln Services (site 3)	Moonah TAS	Services	208	Yes
Southern Cross Castors (site 3)	Dandenong VIC	Hardware	245	Yes
Bass Strait Freight (site 3)	Devonport TAS	Freight	282	Yes
Atelier Beaulieu (site 3)	Lyon, France	Timber	319	Yes
Gippsland Veneers (site 3)	Morwell VIC	Timber	356	No
Riverina Oils (site 3)	Wagga Wagga NSW	Finishes	393	Yes
Derwent Valley Sawmills (site 4)	New Norfolk TAS	Timber	430	Yes
Huon Pine Traders (site 4)	Huonville TAS	Timber	467	Yes
Tamar Joinery Supplies (site 4)	Launceston TAS	Hardware	504	Yes
Kestrel Steelworks (site 4)	Fremantle WA	Steel	141	No
Moonah Kiln Services (site 4)	Moonah TAS	Services	178	Yes
Southern Cross Castors (site 4)	Dandenong VIC	Hardware	215	Yes
Bass Strait Freight (site 4)	Devonport TAS	Freight	252	Yes
Atelier Beaulieu (site 4)	Lyon, France	Timber	289	Yes
Gippsland Veneers (site 4)	Morwell VIC	Timber	326	No
Riverina Oils (site 4)	Wagga Wagga NSW	Finishes	363	Yes